

# **RAMIREZ v FAMILY DOLLAR, LLC, et al**

**25CV48285**

## **DEFENDANTS' MOTION TO COMPEL ARBITRATION AND STAY PROCEEDINGS**

Before the Court is a renewed motion to compel arbitration filed by Defendants Family Dollar LLC, Family Dollar Services, LLC, and Family Dollar Operations, LLC (collectively "Defendants"). For the reasons set forth below, the motion is denied.

The Court DENIES Defendants' Request for Judicial Notice as the proffered declarations are not matters for which judicial notice is appropriate. However, the Court notes the four declarations were all appropriately verified and they all have been considered as evidence in reaching this decision.

### **I. Factual and Procedural Background**

Plaintiff began working for Defendants as a clerk beginning in or around June 5, 2023. (Complaint ¶ 12.) When Plaintiff was initially hired, she informed her manager, Amy, that she suffered from mental disabilities, but she was able to perform the essential duties of her position with reasonable accommodation without endangering the health or safety of herself or other employees of Defendants. (*Id.* ¶ 13.) On or around November 5, 2023, Plaintiff requested medical leave due to a cancer diagnosis. (*Id.* ¶ 14.) Defendants then terminated Plaintiff's employment on November 6, 2023. (*Id.* ¶ 15.)

Plaintiff alleges she was wrongfully terminated because of her disability and request for accommodation. Plaintiff filed her complaint alleging various violations of California's Fair Housing and Employment Act.

On January 26, 2026, Defendants moved for an order compelling the matter to arbitration pursuant to an alleged arbitration agreement ("Agreement") between Plaintiffs and Defendants which the Court denied for the lack of any testimony or evidence contradicting plaintiff's claim that she never signed the arbitration agreement. Defendants have renewed the motion accompanied by a declaration from Defendants' Regional HR Manager asserting the agreement contains plaintiff's electronic signature as part of her onboarding package; Plaintiff opposes the motion.

## **II. Procedure and Burden of Proof on Petition to Compel Arbitration**

In determining the enforceability of an arbitration agreement, the court considers “two ‘gateway issues’ of arbitrability: (1) whether there was an agreement to arbitrate between the parties, and (2) whether the agreement covered the dispute at issue.” (*Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.) The trial court must first determine whether an “agreement to arbitrate the controversy exists.” (Code Civ. Proc., 1281.2.) “Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence.” (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.) The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent’s signature. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) Alternatively, the moving party can meet its initial burden by setting forth the agreement’s provisions in the motion. (Cal. Rules of Court, rule 3.1330.)

It then becomes Plaintiff’s burden, in opposing the motion, to prove by a preponderance of the evidence any fact necessary to her opposition. (*Espejo, supra* 246 Cal.App.4th at 1057.) “Code of Civil Procedure section 1281.2 requires a trial court to grant a petition to compel arbitration ‘if the court determines that an agreement to arbitrate the controversy exists.’” (*Avery v. Integrated Healthcare Holdings, Inc.* (2013) 218 Cal.App.4th 50, 59, quoting Code Civ. Proc. § 1281.2.)

Generally, on a petition to compel arbitration, the court must grant the petition unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for revocation of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (*Desert Reg’l Med. Ctr. v. Miller*, (2022), 87 Cal.App.5th 295, 308.)

## **III. Legal Analysis**

Defendants have met their initial burden of showing the existence of the Agreement that appears to have been signed by Plaintiff on September 23, 2023. (Declaration of Vincent Votta (“Votta Decl.”) ¶31, Ex. C.) (*Espejo v. S. Cal. Permanente Med. Grp.* (2016) 246 Cal.App.4th 1047, 1060 [party moving to compel arbitration may meet their initial burden to show an agreement to arbitrate by attaching a copy of the agreement

purportedly bearing the opposing party's signature].) Defendants assert that the Agreement was signed as a necessary and indispensable part of the online application process. (Votta Decl. ¶¶ 29-31.)

However, Plaintiff disputes that not only is the signature on the agreement not hers, but also, that she never submitted an online application. Specifically, Plaintiff avers that the only application she submitted was a hard-copy application, filled in by hand, and submitted in person at the store location of work located at 3502 Spangler Lane, Copperopolis, California. (Declaration of Ramona Ramirez ("Ramirez Decl.") ¶¶ 2-3.) Plaintiff alleges that *after* she was already hired, her manager Amy called her into her office to let her know that certain paperwork needed to be completed. (*Id.* ¶ 7.) Amy asked Plaintiff to use Amy's office computer to fill out the paperwork but there was an issue with the computer. (*Id.* ¶¶ 8,9.) Amy informed Plaintiff that Amy would take care of the paperwork and Amy later informed Plaintiff that she had in fact done so. (*Id.* ¶¶ 10, 11.) Plaintiff never saw the completed paperwork and believes that Amy signed the documents, including the Agreement, on Plaintiff's behalf without Plaintiff's knowledge. (*Id.* ¶¶ 10, 11.) Because Plaintiff has asserted under oath that she did not see or sign the arbitration agreement, she has successfully carried her burden of producing evidence that challenges the authenticity of the agreement. (*Gamboa v. Ne. Cmty. Clinic*, (2021) 72 Cal.App.5th 158, 165 [declaring under penalty of perjury that the opposing party never saw the arbitration agreement or signed it is sufficient evidence to challenge the authenticity of the agreement].)

Accordingly, the burden returns to Defendants to show, by a preponderance of the evidence, that the agreement is valid. (*Gamboa*, *supra* 72 Cal.App.5th at 165.)

In denying Defendant's previous motion to compel arbitration, the Court specifically noted that Defendants failed to provide any evidence or declaration from Amy – or anyone else present with Plaintiff when she alleged signed the Agreement – that

contradicts Plaintiff's sworn statement. Defendant still do not provide any declaration from any individual who actually saw Plaintiff sign the Agreement. This time, however, Defendants do provide evidence that contradicts Plaintiff's statement that she was hired in June of 2023. (Declaration of Chad Thomas ("Thomas Decl.") ¶¶ 2, 3.) Mr. Thomas avers that the corporate records show that Plaintiff received her first paycheck in October of 2023 which would coincide with a hire date in September of 2023. (*Ibid.*) Defendant also provides evidence that all employment applications were done online so that there could never have been a paper application as Plaintiff states. (*Id.* ¶ 6.) And, Defendants assert, all individuals who *apply* online for a position with Defendant must consent to arbitration as part of the application process. (*Id.* ¶ 7.) Defendants provide evidence that an applicant would have agree to arbitrate before the online application can continue. (Declaration of Vince Votta ("Votta Decl.") ¶¶ 15, 16, 18.) Defendants then provide a copy of Plaintiffs' online application.

The application itself, however, does not explicitly show that Plaintiff agreed to the arbitration provision. The application states: "Please click arbitration.com and review Dollar Tree's I Agree Mutual Agreement to Arbitrate Claims and the Arbitration Program FAQs." (*Id.*, Ex. B.) Next to the statement asking the applicant to "review" the arbitration agreement, is the phrase "I agree," apparently placed there by Plaintiff. Beneath that, is the sentence, "I acknowledge that I have received and read the Mutual Agreement to Arbitrate Claims, and I agree to its terms." However, there is no "I agree" placed next to the *acceptance* of the arbitration agreement. The next "I agree" is placed next to the statement involving applicant privacy rights. Thus, Defendant's own evidence fails to show that Plaintiff expressly agreed to the arbitration agreement.

However, *even* if the Court were to conclude that Plaintiff agreed to arbitrate as part of her application process, the Court cannot conclude that this would bind Plaintiff to agree to arbitrate as part of her employment. First, it is unclear from the documents provided whether the applicant would read the agreement to arbitrate – as part of the application process – to be limited to just the application process or whether it would extend outside the application to the employment itself.

Second, the application agreement would have been superseded by the alleged second consent to arbitrate done as part of the onboarding process. The second consent to arbitrate (allegedly electronically signed on September 23, 2023), specifically states that it is the "entire" agreement and does not incorporate any prior representations related to the arbitration agreement. (Votta Decl., Ex. C.) (See *Jarboe v. Hanlees Auto Group* (2020) 53 Cal.App.5th 539, 551 [agreement to arbitrate as part of application process was superseded by later employment agreement which purported to be the "entire" agreement between the parties].) However, that alleged electronically signed Agreement *is the very one* Plaintiff asserts was signed outside her presence by Amy. And, as before, Defendants have failed to provide a declaration from Amy (or anyone else

present with Plaintiff) who can controvert Plaintiff's affidavit that she did not personally complete any of the onboarding paperwork or agree to arbitrate.

Defendants have not carried their burden to overcome Plaintiff's sworn statement that she did not sign an arbitration agreement.

Accordingly, the **motion to compel arbitration is DENIED.**

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiff to submit a formal Order complying with Rule 3.1312 in conformity with this Ruling.